

FEDERAL MARITIME COMMISSION

46 CFR PARTS 514, 580 AND 581

[DOCKET NO. 93-22]

COLOADING PRACTICES BY NON-VESSEL-OPERATING
COMMON CARRIERS; SHIPPER AFFILIATE ACCESS
TO SERVICE CONTRACTS

[DOCKET NO. 94-26]

INQUIRY INTO STATUTORY BASIS FOR COLOADING PRACTICES
AND POSSIBLE SECTION 16 EXEMPTION FOR COLOADING

AGENCY: Federal Maritime Commission.

ACTION: Notice of Inquiry.

SUMMARY: The Proposed Rule in Docket No. 93-22, which would modify and clarify the Federal Maritime Commission's coloadng regulations, is held in abeyance, pending an inquiry to explore whether existing coloadng practices are consistent with statutory requirements, and, if not, whether an exemption proceeding should be initiated. The purpose of the Inquiry is to serve notice that the Commission has preliminarily determined that coloadng practices appear to contravene the tariff filing requirements, and to provide another opportunity to the interested public to comment on whether, absent an exemption under section 16 of the 1984 Act, a statutory basis for such practices exists. The Inquiry also solicits comments on whether the Commission should initiate a proceeding under section 16 to exempt some aspect of coloadng activity from otherwise applicable

requirements if no other statutory basis for coloadng exists.

DATE: Comments due on or before [insert date 45 days after publication in the Federal Register].

ADDRESS: Send Comments (original and 20 copies) to:

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Secretary
Federal Maritime Commission
800 North Capitol St., NW
Washington, DC 20573
(202) 523-5725

FOR FURTHER INFORMATION CONTACT:

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SUPPLEMENTARY INFORMATION:

The Federal Maritime Commission ("Commission") initiated Docket No. 93-22, Coloadina Practice by Non-Vessel-Operating Common Carriers, Shipper Affiliate Access to Service Contracts, for the purpose of addressing the practice of non-vessel-operating common carriers ("NVOCCs") of rating combined or consolidated cargoes under privately arranged rates rather than the rates in their tariffs. In its Notice of Proposed Rulemaking ("NPR" or "Proposed Rule"), the Commission noted that its current rules governing this practice, known as coloadng, which were promulgated in 1985, have been variously interpreted by the NVOCC industry, due in part to apparent ambiguities in the rule's definitions and attendant enumeration of responsibilities of coloadng NVOCCs.

Accordingly, the Commission proposed to revise the definition of consolidated cargo shipments which qualify to be rated off-tariff as coload cargo.

In the NPR, the Commission expressed its concern about diverse interpretations of and ambiguities in its coload rules as reflected in coload activity since 1985. The Commission also noted that a larger volume of NVOCC-carried cargo was being rated as coload cargo than was anticipated when the coload regulations were crafted, possibly resulting in an inordinate percentage of NVOCC shipments being rated irrespective of the NVOCCs' tariff rates. With coload being used as a device to gain access to other NVOCCs' service contracts, the Commission noted that consolidated cargoes being deemed coload cargo by some NVOCCs now include multiple full containerloads ("FCLs"), not just the small, less-than-containerload ("LCL") shipments that constituted the objective of the Commission's current coload rule. The Commission was also concerned that there was too wide a variety of interpretations of the regulatory responsibilities of coload NVOCCs, with some NVOCCs assiduously adhering to the regulations and others adopting practices based on looser interpretations of those somewhat ambiguous rules.

The NPR sought comment on:

1. A proposal to redefine the term "coload" to mean the combining of cargo pursuant to the rates, charges and terms of an agreement (vis-a-vis a tariff), which agreement must be in writing and made available to the Commission;

2. An alternative proposal limiting coloaded cargo to LCL cargo;
3. A proposal to prohibit coloaded cargo from being carried under a service contract; and
4. A proposal to define an "**affiliate**" having access to service contracts.

The Commission also sought comment on:

5. Whether to restrict applicability of time-volume rates to coloaded cargo; and
6. Whether to proscribe coloaded altogether.

The Proposed Rule generated 58 comments. Conferences of vessel-operating common carriers ("**VOCCs**"), and some larger NVOCCs, generally supported the Proposed Rule, but urged that the Commission go further and ban coloaded altogether. Some of these entities argued that the Shipping Act of 1984, 46 U.S.C. app. 1701 et seq. ("1984 Act"), provided no basis either for coloaded or for unaffiliated NVOCCs jointly having access to service contracts other than through the statutorily sanctioned mechanism of a shippers' association, 46 U.S.C. app. 1702(24).

Most of the comments, however, were from smaller to mid-sized NVOCCs, who opposed the Proposed Rule. With few exceptions, these parties did not address the legal ramifications of the Proposed Rule, but instead focused on what they believed to be the practical impact of the proposal on their operations. The NVOCC community's comments collectively conveyed the prevalence of coloaded, estimated as 40% or more of NVOCC **carrying**s by one **commenter**, and

characterized coloadng practices as highly beneficial to the many smaller NVOCCs who rely on coloadng to remain competitive.

The threshold question remains, however, whether the very concept of coloadng is, or can be made, consistent with the 1984 Act. Section 8(a) (1) of the Act, 46 U.S.C. app. 1707(a)(1), states: "[E]ach common carrier and conference shall file with the Commission, and keep open to public inspection, tariffs showing all its rates, charges, classifications, rules, and practices" Both NVOCCs and voccs are defined in the 1984 Act as "common carriers." 46 U.S.C. app. 1702 (17), (18). By defining NVOCCs as common carriers, Congress quite intentionally determined to subject them to the tariff-filing provisions of section 8. The Senate Commerce Committee Report advised that "all 'common carriers,' including both vessels operators and non-vessel operators," would have to publish tariffs under the bill. S. Rep. No. 3, 98th Cong., 1st Sess. 30 (1983). That NVOCCs file tariffs under the 1984 Act is not an accidental by-product of a complicated regulatory regime; it is a deliberate statutory mandate to which the Commission, in implementing that statute, must adhere.

In 1990, Congress reiterated its intention that NVOCCs file tariffs when it enacted the Non-Vessel-Operating Common Carrier Amendments of 1990 ("1990 Amendments"), section 710 of Pub. L. No. 101-595. The 1990 Amendments were based upon the principle of NVOCC tariff filing and were devised in part to secure NVOCC compliance with section 8 of the 1984 Act.

Thus, the current statutory scheme not only includes provisions for NVOCC tariff filing, but has used that principle as the premise for other statutory proscriptions and obligations. Meanwhile, the 1984 Act makes no special provision for, or even acknowledgement of, consolidators and coloaders. The Commission rejects the arguments of some NVOCCs that this is a signal that Congress intended coloaders activity to remain unfettered by regulation or excused from the general statutory scheme. The law on its face effectively mandates that an NVOCC include in its tariff all rates and charges. Those would include not only those charged the underlying shipper, but also any rate charged another NVOCC, whatever its arrangement with that NVOCC may be. An NVOCC is given no express statutory authority to charge off-tariff rates or make private arrangements for the transportation of cargo in its capacity as a common carrier.

The Commission therefore makes the preliminary determination that the off-tariff rating of cargo by NVOCCs under the rubric of coloaders contravenes the tariff-filing requirement of section 8 of the 1984 Act.¹ If that is the case, there would appear to be no

¹ Another concern of the Commission, raised in the NPR, is that Congress established the shippers' association mechanism as the means by which unaffiliated shippers may jointly access service contracts. The NPR also expressed the view that the 1984 Act contemplates that service contract rates are available only to the shipper signatory to the contract. These issues were adequately addressed by the commenters on the Proposed Rule. Further comment on the statutory basis for coloaders activity is therefore solicited only as it relates to the issue of section 8's tariff filing requirement.

present statutory basis for either the Proposed Rule on coloadng or the Commission's existing coloadng rules as well.

Before disposing of Docket No. 93-22 in accordance with these conclusions, however, the Commission has determined to provide interested parties one final opportunity to offer legal arguments as to whether coloadng practices are currently consistent with section 8. The purpose of this endeavor is to ensure that the Commission has the benefit of all possible statutory interpretations on this issue. The policy arguments for and against coloadng, which were more than adequately explored in the comments on the Proposed Rule, should not be reiterated in this proceeding.

If, after consideration of comments received in response to this Notice, the Commission remains unpersuaded that there is a present statutory basis for coloadng, it would be its intention to explore whether a section 16 exemption is appropriate by initiating a separate proceeding under section 16 of the 1984 Act, 46 U.S.C. app. 1715, following this Inquiry. That section provides:

The Commission, upon application or on its own motion, may by order or rule exempt for the future any class of agreements between persons subject to this Act or any specified activity of those persons from any requirement of this Act if it finds that the exemption will not substantially impair effective regulation by the Commission, be unjustly discriminatory, result in a substantial reduction in competition, or be detrimental to commerce. The Commission may attach conditions to any exemption and may, by order, revoke any exemption. No order or rule of exemption or revocation of exemption may be issued unless opportunity for hearing has been afforded interested persons and departments and agencies of the United States.

To this end, the Commission seeks input from interested parties on whether a section 16 exemption proceeding should be initiated to determine if some form and degree of coload activity should be exempted from the requirements of section 8 or other relevant provisions of the 1984 Act. Short of remedial legislation, section 16 would appear to provide the only possible avenue for excusing coload NVOCCs from the otherwise applicable provisions of the 1984 Act, should those provisions be found to preclude existing coload practices.

If the Commission initiates a section 16 proceeding, whether an exemption is ultimately deemed appropriate for coload activities will depend on several factors. A threshold consideration is the scope of coload activity which is proposed to be exempted. Is relief required for LCL coload only, or also for FCL coload by NVOCCs? How common is the off-tariff rating of FCL cargo as coload cargo? In assessing the need and desirability of coload, the Commission is also desirous of ascertaining the extent to which the discount rates achieved through coload inure to the benefit of the underlying shippers themselves, in addition to the coload NVOCCs.

Many NVOCCs commenting on the Proposed Rule raised the issue of certain VOCC space-chartering arrangements, which include off-tariff compensation, and which were likened to NVOCC coload arrangements. Accordingly, the Commission seeks views on whether such arrangements by VOCCs are inconsistent with the 1984 Act and

also whether those activities should be addressed in **any** forthcoming section 16 exemption proceeding.

The major determinant on the appropriateness of a section 16 exemption would be the applicability of the specific criteria listed in that section. Regardless of the fervency with which coloaders ~~NVOCCs~~ argue that coloaders is essential to their operations, no exemption may issue if doing so would substantially impair the Commission's regulatory responsibilities, result in unjust discrimination (such as between shippers, or between carriers), or fail to meet the other statutorily imposed criteria. Commenters are therefore urged to address, albeit on a preliminary basis, how exemption of the various categories of coloaders or other activity, discussed supra, would or would not meet the section 16 criteria. The Commission emphasizes that the reason for this proceeding is to give the interested public the opportunity to address these legal issues, and not merely to reiterate preferences based on the financial interests of the commenters.

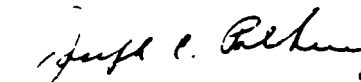
The preliminary determinations to find coloaders practices inconsistent with the 1984 Act (absent a formal section 16 exemption) and to initiate a separate section 16 exemption proceeding following this Inquiry, may be revised, if comments responding to this Notice persuade the Commission that those determinations are incorrect. The scope and breadth of any exemption proceeding to be initiated may also be expected to reflect the arguments advanced by commenting parties. During the **pendency** of this proceeding, the Proposed Rule will remain in

abeyance, and will be reconsidered should a resolution of these issues not result from this Inquiry.

THEREFORE, IT IS ORDERED, That this Notice of Inquiry be published in the Federal Register; and

IT IS FURTHER ORDERED, That the Proposed Rule in Docket No. 93-22 is held in abeyance pending further notice.

By the Commission.


Joseph C. Polking
Secretary